

Targeting Higher Credit Card Payments

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Summary

- ▶ **Setting:** Field RCT, US FinTech credit card provider (Arro)
- ▶ **Two nudges** vary the in-app payment screen:
 - ▶ T1: remove the minimum repayment suggestion
 - ▶ T2: remove both the minimum & the 50% statement balance suggestion
- ▶ Analysis based around a pre-registered PAP - really solid & thorough implementation
- ▶ **Primary result:** Neither nudge increases average repayments
- ▶ **Secondary result:** Treated *initially* enter a repayment often lower than min repayment, but revise up (to min) after a warning
- ▶ **Implication:** Minimum acts as a *target*, not an *anchor*

Comment 1: Selection into Arro

Arro FAQs Site

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Arro FAQs Site

General

× What is Arro, and how is it different from other credit apps?

Arro is a credit-building program designed to be fair and inclusive, and it gives you more than most. While other credit apps offer one thing (a card, a builder, or some tips), Arro brings all three together: a credit card that grows with you, a credit builder that reports to the bureaus, and Artie, your 24/7 AI Money Coach. There's no hard credit check to get started, and no deposit is required for the Arro Card.

<https://www.arrofinance.com/FAQ>

Comment 1: Selection into Arro

How Arro Works Site



<https://www.arrofinance.com/how-arro-works>

Comment 1: Selection into Arro

Reddit Comment



Piratemely • 1y ago

I have their card and have found it to be really helpful in that they give you a small line of credit to start (so you don't go on a spending spree and fall for the typical pitfalls that are consumer credit cards) and you
unlock more credit as you take courses designed to teach you the ins and outs of credit and how to utilize
it to benefit you and avoid being in debt.

https://www.reddit.com/r/CreditCards/comments/1kmudxr/feedback_on_the_arro_card/

Comment 1: Selection into Arro

- ▶ Arro is a **low & grow credit-building** FinTech – not necessarily a generic subprime issuer
 - ▶ No hard credit checks; limits start at \$300, grow to \$2,500
 - ▶ Product premised on disciplined payment behavior
 - ▶ Consumers self-select into this proposition
 - ▶ Paying $\geq$ minimum surely helps to obtaining higher credit limits
- ▶ Ben is right: being representative of the **overall** population of credit card holders (specifically superprime) **not** necessary
- ▶ But... are Arro users representative of the population we *do* care about? Is there selection on unobservables?

Comment 1: Selection into Arro

- ▶ Arro users self-select into a product premised on disciplined behavior
- ▶ Seems like the individuals who might be inclined to pay below the minimum rather than above, but also the set for whom it'd be particularly costly to do so:

Arro users are precisely the set we may expect little effects for

- ▶ Will the results in the paper extend in an RCE elsewhere? Are they general enough to be compared with online hypothetical experiments?
- ▶ **Also possible:** non-Arro users increase payments when the minimum is shrouded & average Arro users do not
- ▶ So I don't necessarily see these results as being inconsistent with the results of the several online hypothetical experiments, which is not an issue

Comment 2: Framing/Interpretation

The key idiosyncrasy of the setting

“Paying less than your minimum amount \$11.00 will likely result in interest and late fee charges.”

9:41

< Choose Amount

! Paying less than your minimum amount \$11.00 will likely result in interest and late fee charges.

\$5.00 ×

Your statement balance is due on April 24

\$124.00 🍌
Current Balance

\$74.00
Statement Balance

Next

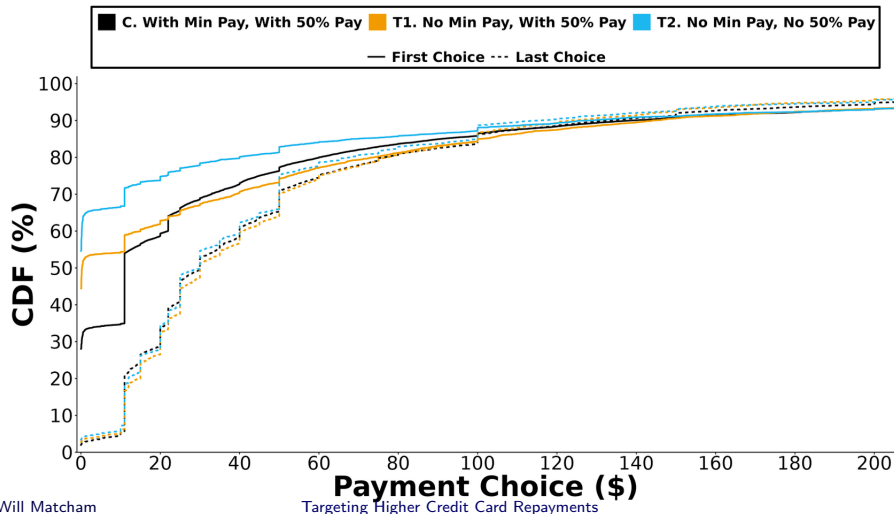
1	2 ABC	3 DEF
4 GHI	5 JKL	6 MNO
7 PQRS	8 TUV	9 WXYZ
0		<X

Comment 2: Framing/Interpretation

- ▶ Warning prompt: might the nulls be coming from the fact that the min isn't fully shrouded? (Might Arro run again without this?)
- ▶ Clickstream data speak to this:

Comment 2: Framing/Interpretation

A: All Data



Comment 2: Framing/Interpretation

- ▶ Many treated initially enter ≈ 0 , see the warning, then revise to the minimum repayment. How to interpret?
- ▶ Paper: “consumers initially seek to pay less than the minimum”
- ▶ Alternative: consumers have hacked the treatment & realized they can work out their minimum repayment

Comment 2: Framing/Interpretation

- ▶ Do we really believe that individuals log on to make a payment & then enter ≈ 0 ?
- ▶ At least, I'd like some explanation for why those in T2 have nearly twice as high a probability of initially entering ≈ 0 than C
- ▶ Things that could be checked in the clickstream data:
 1. Is it the case that once an individual discovers they can find out with a low payment, they continue to do this?
 2. Do some edge down to \$11 via repeated entries?
- ▶ **NB:** either way, clickstream is still evidence inconsistent with anchoring & consistent with targeting
- ▶ Hacking isn't a problem *per se* — it actually *strengthens* targeting story! But, it could **undermine** the shrouding treatment

Main Recommendation

Shift headline toward clickstream evidence that subprime consumers *target* the minimum

The Broader Picture

- ▶ This paper got me stewing over:
 1. A rationale for min repayments is to avoid -ve amortization. Does that justify their existence?
 2. What is the optimal punishment for missing the minimum repayment?
 3. What is the optimal level of minimum repayment?
- ▶ Existing empirical work provides foundations for thinking about some of these
- ▶ E.g., Ben's other recent paper shows that there are tradeoffs in the level of the minimum repayment: debt paydown vs. failures to repay
- ▶ Would love to see finance scholars estimate models to tackle these

What I Like About This Paper

- ▶ Thoroughly-analyzed RCE with findings that:
 - ▶ Differ from conventional behavioral biases
 - ▶ Speak to persistent debt & the demand side of credit cards
 - ▶ Got me thinking about the big questions relating to minimum repayments
- ▶ Behavioral econ/finance literature oft criticized for “having too many biases” - this paper helps us to prune
 - ▶ Clickstream results very insightful about targeting in this sample